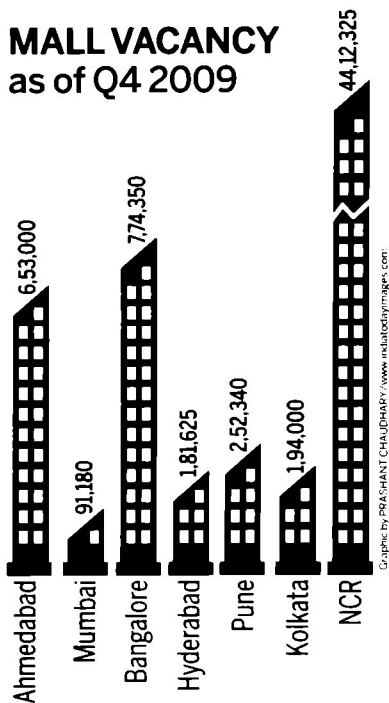


MALL VACANCY as of Q4 2009



Figures in sq ft Source: Cushman and Wakefield Research



The biggest and best retailers have burnt their fingers in the Ahmedabad region as people prefer to shop in local markets.

the catchments right.

Internationally, malls and shopping centres are treated as assets and are owned by real estate investment trusts (REITs). These REITs own and manage the property and earn returns for its investors through lease rentals. However, in India developers treated it like any other real estate business and sold spaces and then exited. Explains Vikas Verma, CEO of Colour Factory: "DT Mega Mall (Gurgaon) had sold space to some 200 different people, so as a result there was no unified management to promote the mall and landlords were interested in rentals. There was no revenue-sharing model, which is what progressive malls are talking about today. I foresee the decline of malls not on lease models." With rentals going up by 15 per cent every two years, the model spelt disaster for most tenants. Malls are fast learning that in order to have a healthy mix of retailers, differential rates have to be offered to a multitude of tenants. Today, malls take a minimum guarantee from retailers and take a share in profits.

Experts also believe that most malls that have come up between 2005 and 2007 are not up to international standards. Many malls or shopping

centres have come up as part of some other development in congested residential areas, without even parking in many cases. In other cases, the development didn't have much happening except a few anchors. An example of this is the Ashoka Mall in Hyderabad. Both Spencer's and Pantaloon moved out of the mall. Explains Biyani: "The mall went wrong in its design and, therefore, we had to move out."

With most retailers slowing down on expansion, developers are now delaying or shelving projects. It is expected that 2009-10 will have seen 44 million sq ft of mall space coming up but Cushman and Wakefield expects only 28 per cent of this to be delivered. Real estate companies are now realising that for a mall to succeed a lot more than physical infrastructure is required, which is causing the rethink. Explains Kishore Bhatija, CEO of Inorbit Malls: "Every city has a finite consumption demand, which cannot be changed radically. If more space is added in a given micro market then it needs to be supported by retail. If the catchments and demographic profile do

not match with the retail mix, the result can be disastrous."

No wonder, players like DLF, Satara Properties and DB Realty have shelved their mall projects and converted it to residential projects. Satara Properties has shelved its mall project in Borivali, Mumbai, and DB Realty converted its Orchid Carnival mall project in Dahisar, Mumbai, into a residential one. Suncity too has decided to scale down its plans of developing 50 lakh sq ft of retail space in Jaipur, Mohali, Indore and Bareilly. Its 20,00,000 sq ft mall on Jawaharlal Nehru Marg in Jaipur has been scaled down to 500,000 sq ft.

Undoubtedly, the mall business is facing tough times but it would be wrong to say all malls are suffering. In the midst of the carnage too there are ample success stories like Mumbai's High Street Phoenix and Inorbit Mall, Select City Mall in Delhi's Saket and Forum Mall in Bangalore. Clearly, Indian consumers do spend, provided there is a value proposition that the mall offers. Mall owners now perhaps realise that the Indian consumer won't be lured by sheer glitz. Even those wearing it look for value for money. It is a complex formula that they need to master if they want to say all is well! ■